

US Retailing Broadlines & Hardlines

Best of Times, Worst of Times: US Retail in a K-shaped economy



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"It was the best of times, it was the worst of times". The famous opening line of Charles Dickens' 'A Tale of Two Cities' captures a period of contradiction: the French aristocracy indulging in opulence and privilege, the peasantry experiencing poverty and oppression.

While 2026 is thankfully not 18th century France, shifting class dynamics remain more topical than ever. In this note, we examine the US K-shaped economy and implications for Broadlines & Hardlines retailers.

In the US, the COVID period has given rise to an increasingly K-shaped economy. Prior to COVID, the growth in retail spending for different income groups had largely been clustered. Each group moved together, albeit from a different basis. Since COVID, there has been a notable decoupling of spend growth by income group. The difference is even more stark by education level. Between 2018 and mid-2024, the lowest income group had grown spend by ~8% on a cumulative basis, adjusted for inflation, vs. the highest income group growing at nearly double the rate (~17%).

It's been a downward spiral for the low income cohort. Low income consumers are cash constrained and need to prioritize everyday essentials - food at home, housing, healthcare - with less bandwidth for entertainment, education, and savings. This was already the case before COVID in 2019. Since then, the gap has widened further. Given significant inflation in housing, energy and everyday essentials categories post COVID, the low income cohort has come under greater inflationary pressure in recent years. This has weighed on their ability to save and made them more susceptible to inflation, furthering the downward spiral.

If persistent inflationary pressure continues to exacerbate a K-shaped economy, what does it mean for retailers? Inflation is generally good news for retailers on the top line. This is especially the case for value oriented retailers. When inflation goes up and other retailers take price, value-oriented ones remain cheaper. We see **WMT and COST** as the best positioned to gain share in an environment with persistent inflation. **Dollar stores** could also benefit from higher income consumers seeking value and trading down, as we have seen over the last 12 months.

Meanwhile, inflationary pressure in essentials categories has weighed on discretionary spending. Walmart US, Target, and Costco have each seen staples mix up by +679bps, +770bps, and +118bps respectively since 2019 (as % net sales). For more discretionary-oriented retailers (e.g., TGT), this has had a negative margin mix impact. In the near term, we expect inflationary pressure to persist, which will reinforce the downward spiral for low income consumers as they continue to prioritize everyday purchases. Over time, as inflation normalizes and consumer spending power recovers, we see a path for discretionary spending to recover, led by smaller ticket items and higher income consumers first. Retailers with more discretionary exposure in our coverage (e.g., **FIVE, DLTR, TGT**) are better positioned in an environment when discretionary mix recovers.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	1 Jul 2026	Price Target	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
COST (Costco)	O	USD	924.67	1,194.00	(25.0)%	USD	18.21	20.64	23.30	50.8	44.8	39.7
DG (Dollar General)	O	USD	115.20	149.00	(19.4)%	USD	6.85	7.55	8.67	16.8	15.3	13.3
DLTR (Dollar Tree)	M	USD	121.15	124.00	(1.6)%	USD	5.75	7.00	7.82	21.1	17.3	15.5
FIVE (Five Below)	M	USD	182.64	247.00	19.8%	USD	6.67	9.28	9.33	27.4	19.7	19.6
HD (Home Depot)	M	USD	350.84	346.00	(24.8)%	USD	14.69	14.86	16.15	23.9	23.6	21.7
LOW (Lowe's)	O	USD	221.92	281.00	(21.4)%	USD	12.29	12.69	14.14	18.1	17.5	15.7
TGT (Target)	M	USD	130.29	124.00	4.4%	USD	7.57	8.37	8.43	17.2	15.6	15.5
WMT (Walmart)	O	USD	108.82	145.00	(7.7)%	USD	2.64	3.09	3.60	41.2	35.2	30.2
SPX			7,483.24									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

WMT base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate COST, DG, WMT, and LOW Outperform. We rate DLTR, FIVE, TGT, and HD Market-Perform.

DETAILS

A K-SHAPED TRAJECTORY - DECOUPLED RETAIL SPEND BY COHORT SINCE COVID-19 PANDEMIC

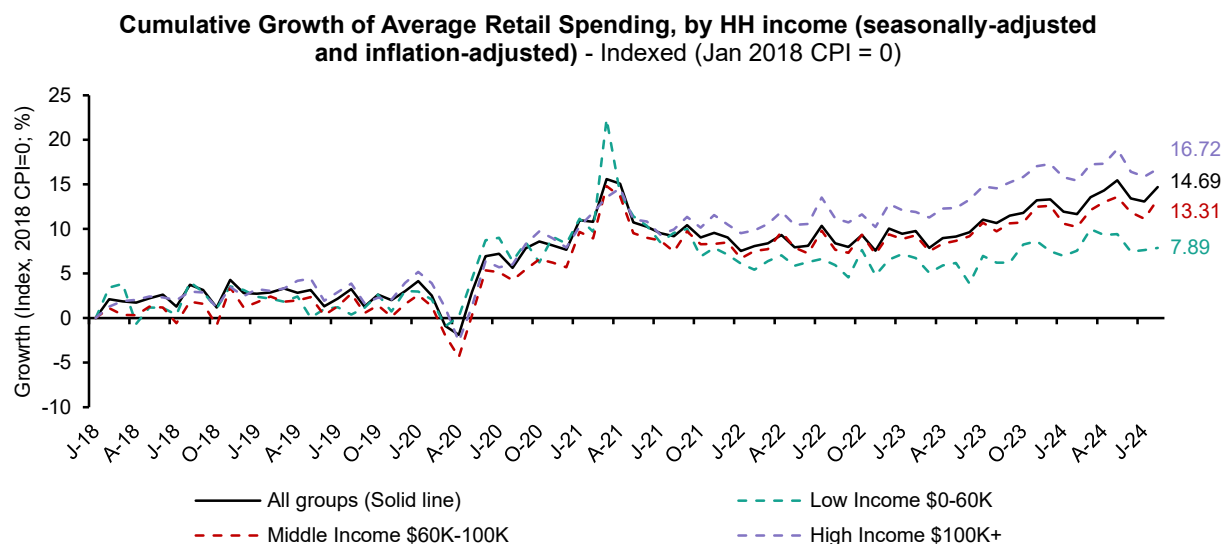
In US Retail, the K-shaped economy is not a new phenomenon. Rather, its manifestation has been visible in data and analyses by major economists for years now. The COVID period coincided with an uncoupling of retail sales growth for different income cohorts, where they had previously grown together in the years prior. This is the result of a confluence of factors - the initial market shock, layoffs and furlough, lockdowns, stimulus and wealth transfers (e.g., SNAP), post-COVID inflation, and government policy. These are all structural, and will take time to reverse. The most obvious way the economy will normalize is through disinflation, and the return of purchasing power. It could also normalize "from the top" - through a market collapse and wealth destruction - but that is not desirable.

Analysis by Hacıoğlu Hoke et al. (2024) of the Federal Reserve shows, using Numerator data, how retail spending has grown off of the 2018 base ([Exhibit 1](#) & [Exhibit 2](#)).¹ The trend is clear; prior to COVID, the growth in spending for different income groups had largely been clustered. Each group moved together, albeit from a different basis. Since COVID, there has been a decoupling of spend growth by income group. The difference is even more stark by education level. Between 2018 and mid-2024, the lowest income group has grown spend by ~8% adjusted for inflation. That is slightly above the rate of US population growth on a compounded basis (~1%). In fact, the retail spend of the low income group barely grew in real terms on a cumulative basis between mid-2020 and mid-2024.

The second point that the chart shows is the impact of stimulus. The largest growth in income occurred in 2021 within the low income group (<\$60k); that was the effect of increases in SNAP, and the disproportionate impact of stimulus checks on the group.

The last point that comes out of the charts is the fact that the average data point hides the reality for low income groups. In other words, the low income and low education groups seem to be experiencing completely different macroeconomic circumstances than the general population.

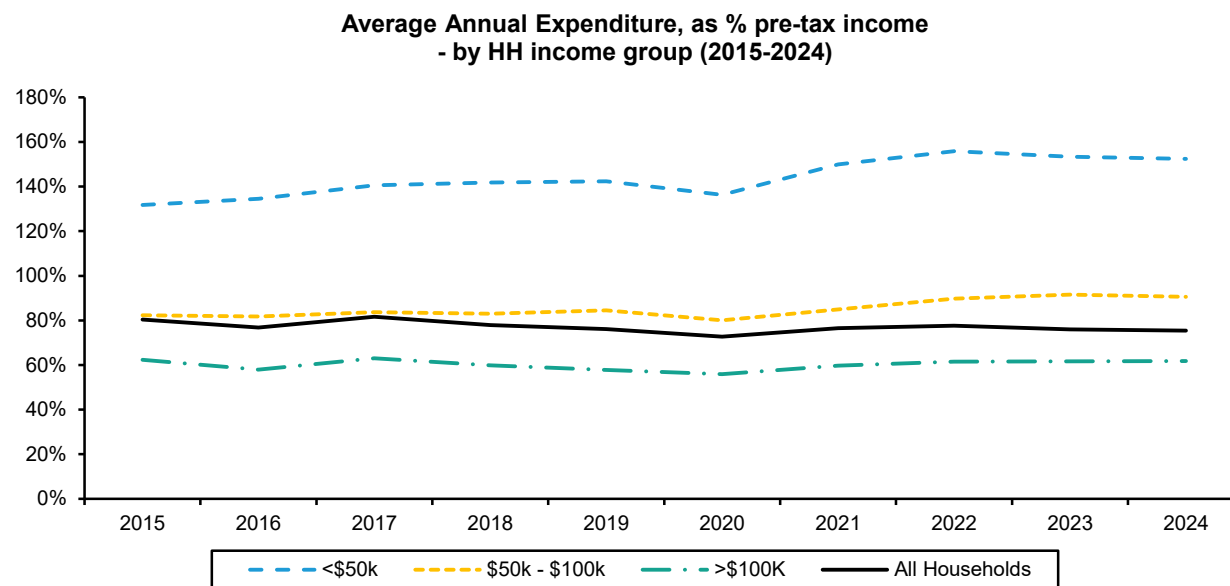
EXHIBIT 1: **COVID uncoupled retail sales growth across income groups.**



The data are monthly from January 2018 through August 2024. All series are adjusted for inflation using the chain indexed PCE deflator for goods and food services excluding motor vehicles and are shown as growth relative to January 2018. All series are seasonally adjusted using X13-ARIMA-SEATS. Based on authors' calculations using Numerator data.

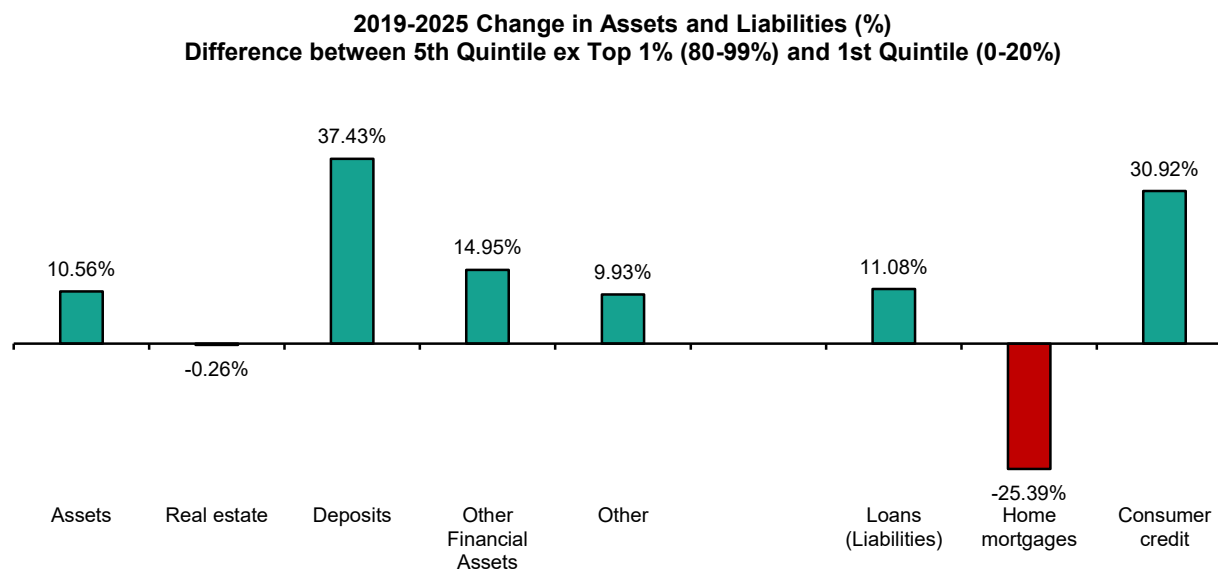
Source: Federal Reserve, Bernstein analysis

¹ The Fed - A Better Way of Understanding the US Consumer: Decomposing Retail Spending by Household Income

EXHIBIT 3: Low income consumers on average spend ~30-40% more than what they earn.

Not adjusted for inflation.

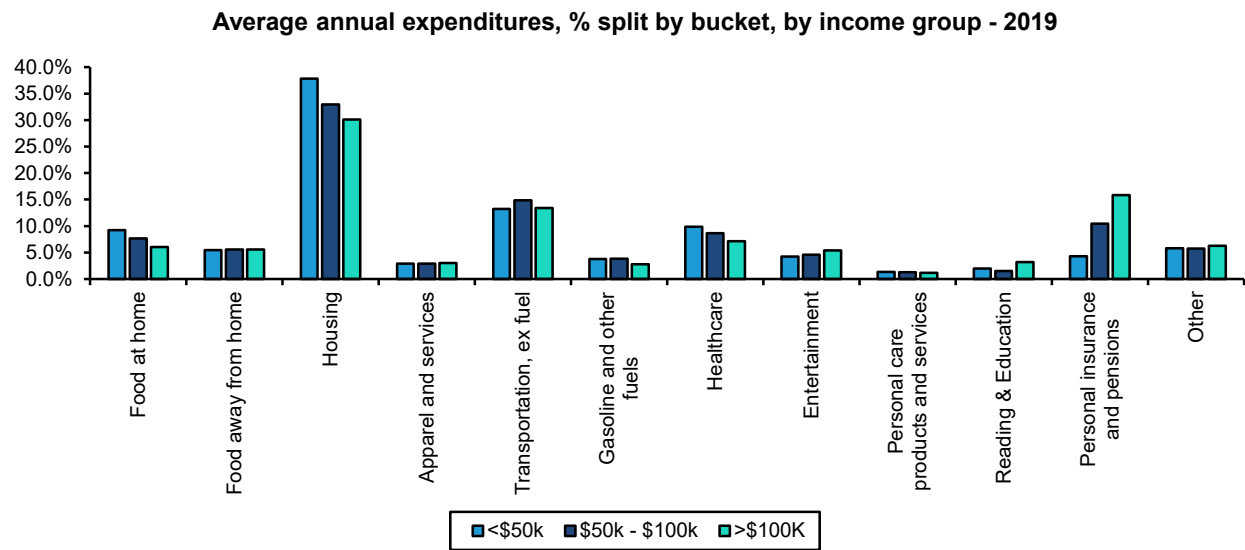
Source: US Bureau of Labor Statistics - Consumer Expenditure Surveys, Bernstein analysis

EXHIBIT 4: The growth in wealth for the 5th quintile, even from a bigger base, far outstrips that of low income groups - wealthier people have been able to pay more, or obtain credit, and sustain the K-shaped economy.

Not adjusted for inflation.

Source: Federal Reserve, Bernstein analysis

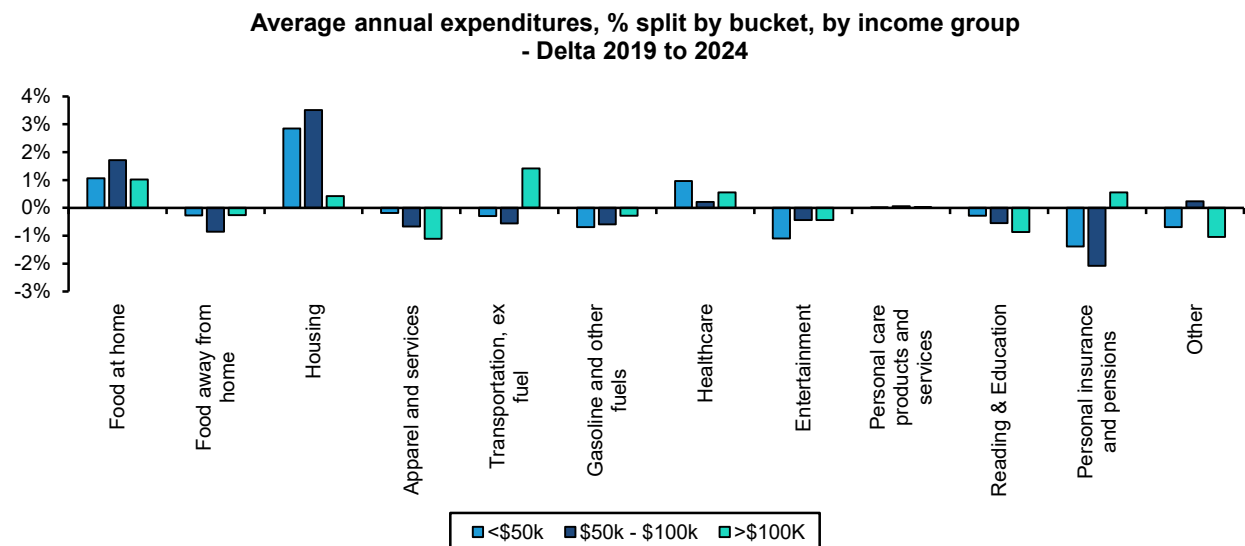
EXHIBIT 5: In 2019, lower income groups spent more than other groups on essentials - food at home, housing, healthcare; they spend less on entertainment, education, and savings.



Not adjusted for inflation.

Source: US Bureau of Labor Statistics - Consumer Expenditure Surveys, Bernstein analysis

EXHIBIT 6: From 2019 to 2024, lower income groups spent more on food, housing, and healthcare; the entire spectrum had a lower proportion of discretionary spend.



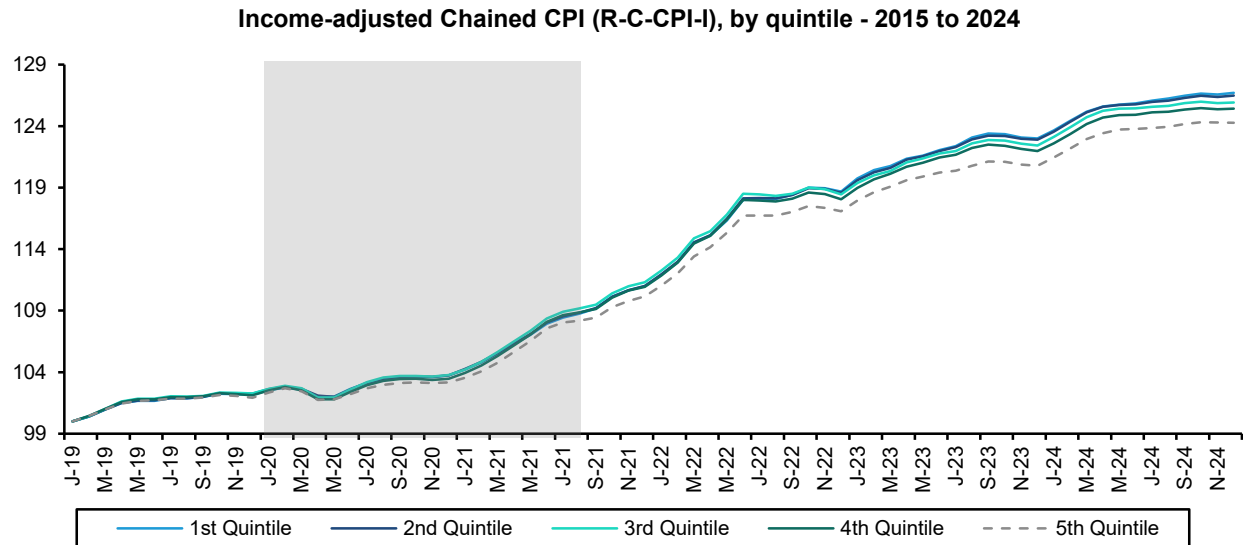
Not adjusted for inflation.

Source: US Bureau of Labor Statistics - Consumer Expenditure Surveys, Bernstein analysis

LOW INCOME IN A DOWNWARD SPIRAL: UNDER GREATER INFLATIONARY PRESSURE

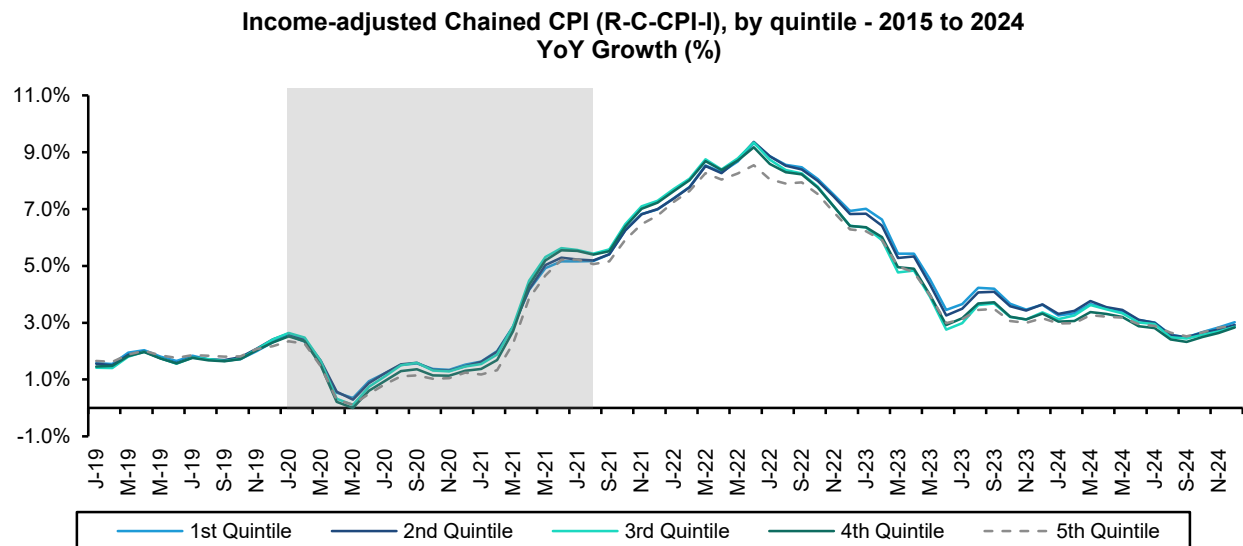
The pressure on the low income consumer is clear when we break out inflation experienced by income cohorts. Low income consumers have experienced greater inflationary pressure, exacerbated by inflation in housing and essentials categories post COVID. This has in turn weighed on their ability to save and made them more susceptible to inflation - it's been a downward spiral. In comparison, the highest income cohort has experienced below-average inflation as they spend a greater proportion of expenditures on discretionary categories, many of which were deflationary until recently ([Exhibit 7-Exhibit 13](#)).

EXHIBIT 7: **On an indexed basis, since January 2019, the wealthiest income groups have experienced less inflation.**



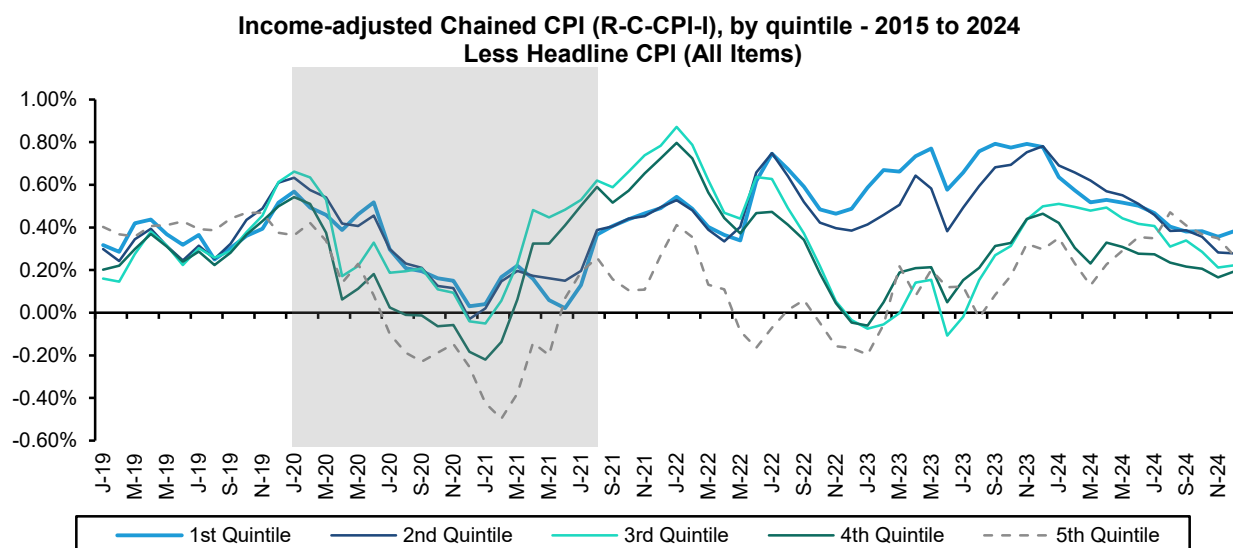
Source: BLS (R-C-CPI-I) Consumer Price Index, Bernstein analysis

EXHIBIT 8: **On a year-over-year basis, COVID proved to be the dislocation point.**



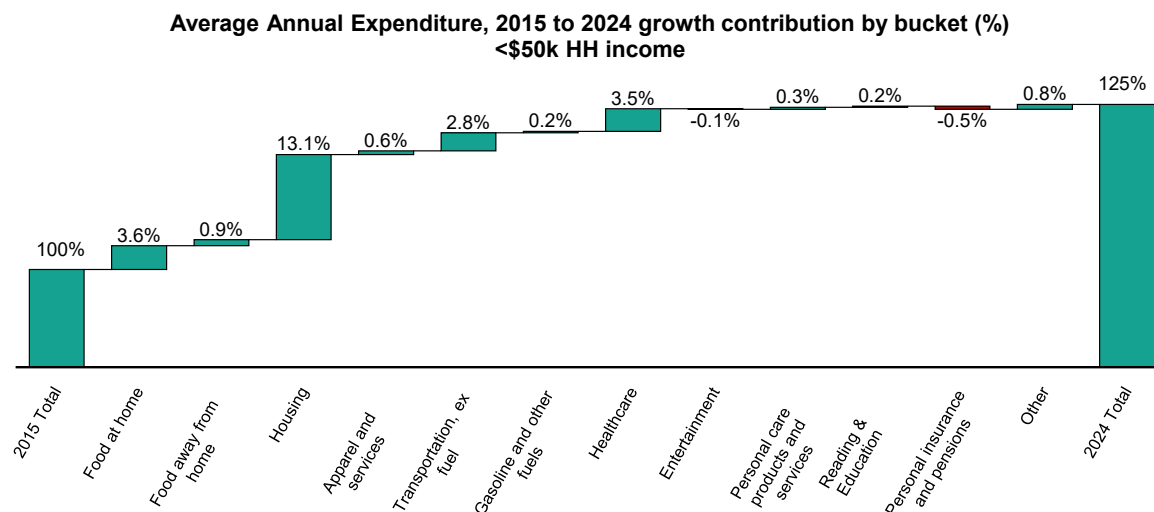
Source: BLS (R-C-CPI-I) Consumer Price Index, Bernstein analysis

EXHIBIT 9: **Against headline CPI, we can see that wealthier income groups frequently saw lower inflation whereas inflation for the 1st quintile was sustained.**



Source: BLS (R-C-CPI-I) Consumer Price Index, Bernstein analysis

EXHIBIT 10: **The overwhelming driver of <\$50k HH income expenditure increases has been housing, where many are renters. Increases in staple foods, transportation, and healthcare expenditure come from inflationary pressures.**

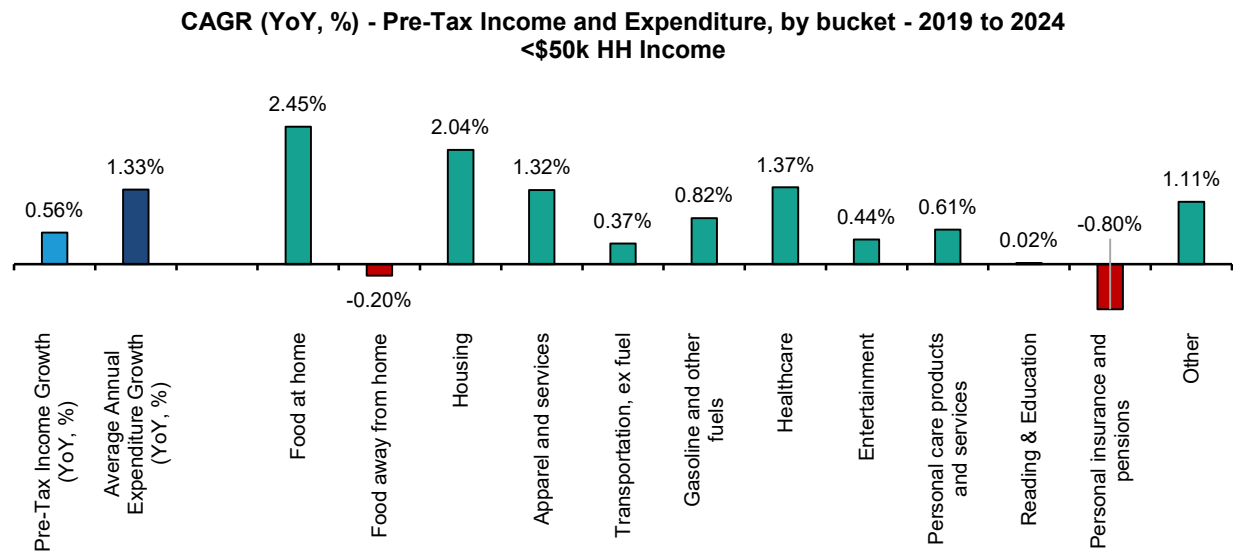


Not adjusted for inflation.

Source: US Bureau of Labor Statistics - Consumer Expenditure Surveys, Bernstein analysis

EXHIBIT 11: Analyzing expenditure growth for the <\$50k HH income group shows how much restraint low income groups have shown on discretionary categories.

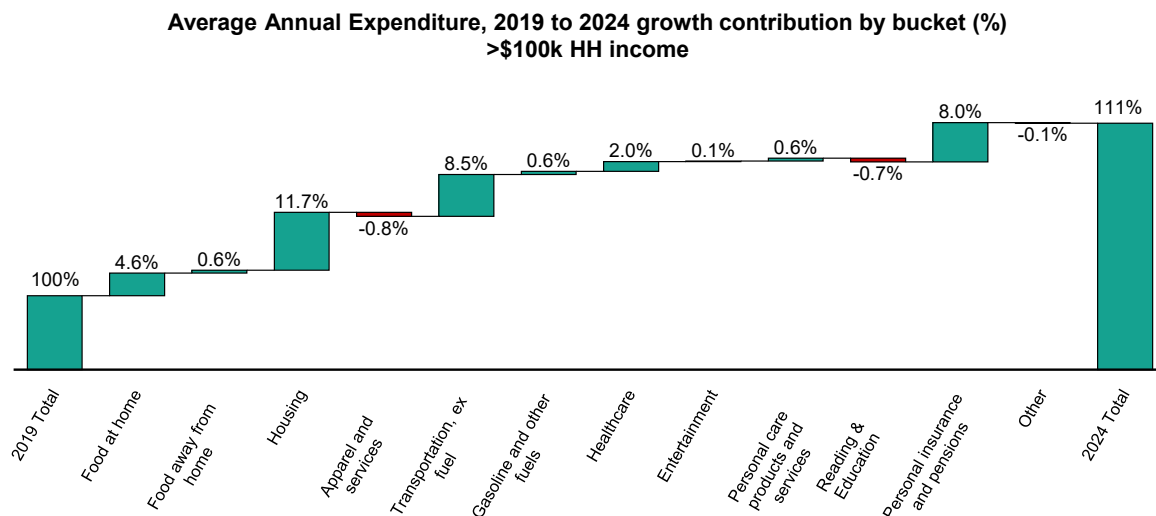
Remember, inflation in this period was MSD



Not adjusted for inflation.

Source: US Bureau of Labor Statistics - Consumer Expenditure Surveys, Bernstein analysis

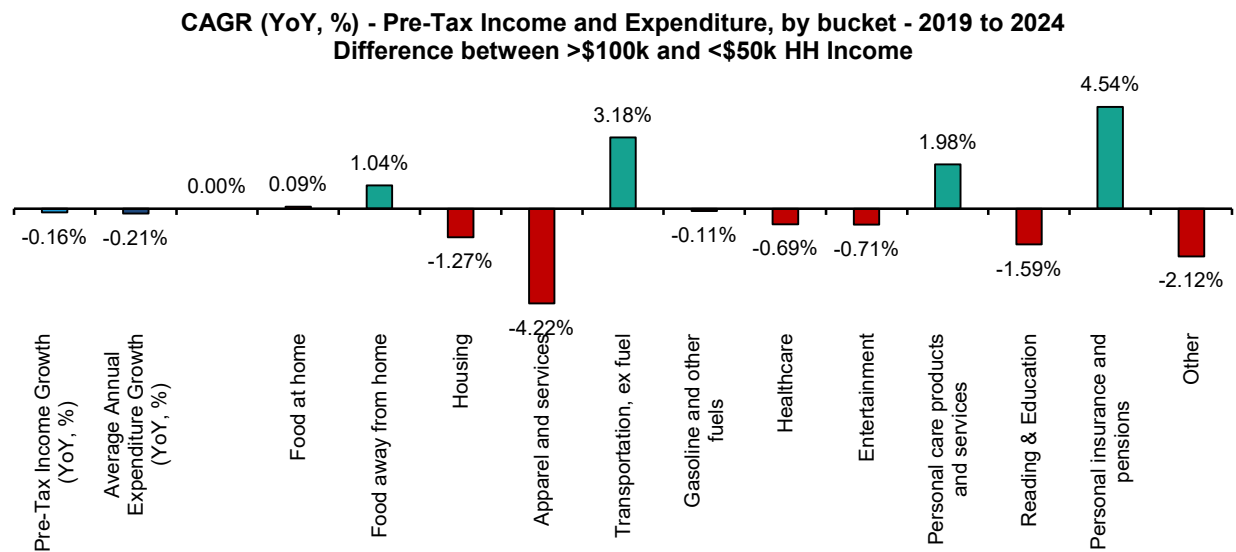
EXHIBIT 12: While the same categories saw expenditure growth in the high income group, the savings category grew by +850bps relative to the low income group; the wealthy have been able to save despite inflation.



Not adjusted for inflation.

Source: US Bureau of Labor Statistics - Consumer Expenditure Surveys, Bernstein analysis

EXHIBIT 13: Taking the difference in CAGR between high and low income groups shows high income groups' discretionary spending power - food away from home, transport, personal care - have all been growing faster.



Not adjusted for inflation.

Source: US Bureau of Labor Statistics - Consumer Expenditure Surveys, Bernstein analysis

IMPLICATIONS FOR RETAILERS - MIX AND SHARE SHIFTS

If persistent inflationary pressure continues to exacerbate a K-shaped economy, what does it mean for retailers?

Inflation is generally good news for retailers on the top line. This is especially the case for value oriented retailers. When inflation goes up and retailers take price, value-oriented ones remain cheaper than others. They are well positioned to gain share in times of stress. We see WMT and COST as best positioned to gain share in an environment with persistent inflation. Dollar stores could also benefit from higher income consumers seeking value and trading down ([Exhibit 14-Exhibit 17](#)).

Meanwhile, inflationary pressure in essentials categories has weighed on discretionary spending. Walmart US, Target, and Costco have each seen staples mix up by +679bps, +770bps, and +118bps respectively since 2019. For more discretionary-oriented retailers (e.g., TGT), this has had a negative margin mix impact ([Exhibit 18-Exhibit 20](#)). In the near term, we expect inflationary pressure to persist, which will reinforce the downward spiral for low income consumers as they continue to prioritize everyday purchases. As inflation normalizes and consumer spending power recovers over time, we see a path for discretionary spending to recover, led by smaller ticket items and higher income consumers first. Retailers with more discretionary exposure in our coverage (e.g., FIVE, DLTR, TGT) are better positioned in an environment when discretionary mix recovers.

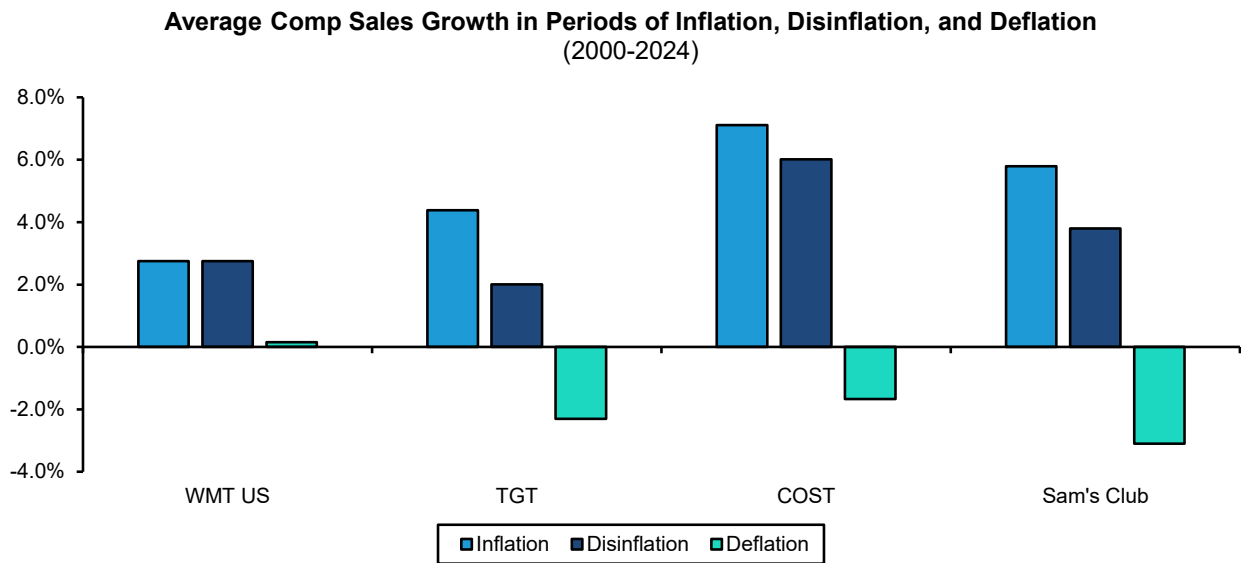
EXHIBIT 14: Inflationary periods correlate strongly with positive comp sales growth at mass retailers and clubs, and negatively with gross margins.

Correlation of financials to inflation - WMT, Sam's, Costco, and Target (2006-2024)

	US Inflation	US Food Inflation	US Food at Home Inflation	US Food Away from Home Inflation
WMT US comp	53%	60%	55%	67%
WMT US traffic	31%	2%	-3%	17%
WMT US ticket	9%	35%	37%	26%
WMT US Grocery sales mix shift	70%	68%	66%	65%
Sam's comp	81%	62%	62%	49%
Sam's traffic	61%	56%	55%	55%
Sam's ticket	29%	46%	45%	38%
Sam's Consumables sales mix shift	26%	24%	24%	22%
WMT Enterprise GM expansion	-53%	-44%	-49%	-19%
COST comp	69%	46%	46%	37%
COST traffic	39%	43%	35%	53%
COST ticket	-19%	-20%	-25%	-4%
COST GM expansion	-45%	-39%	-37%	-22%
COST staples sales mix shift	7%	30%	32%	27%
TGT comp	14%	17%	16%	15%
TGT traffic	9%	-20%	-16%	-23%
TGT ticket	8%	-17%	-25%	-28%
TGT GM expansion	-4%	32%	22%	23%
TGT staples sales mix shift	6%	30%	30%	33%
DLTR comp	35%	47%	41%	50%
DLTR traffic	6%	-7%	-15%	8%
DLTR ticket	40%	61%	65%	46%
DLTR GM expansion	14%	18%	21%	9%
DG comp	-7%	26%	27%	20%
DG GM expansion	-30%	-7%	-3%	-18%
DG GP % change	2%	24%	24%	18%
DG staples mix gain	46%	42%	39%	39%
FIVE comp	12%	0%	-3%	7%
FIVE Ticket	-21%	-8%	-10%	-3%
FIVE Traffic	33%	18%	12%	27%
FIVE GM expansion	10%	-6%	-10%	2%
FIVE GP % change	11%	3%	0%	9%
FIVE Consumables share gain	53%	29%	27%	29%

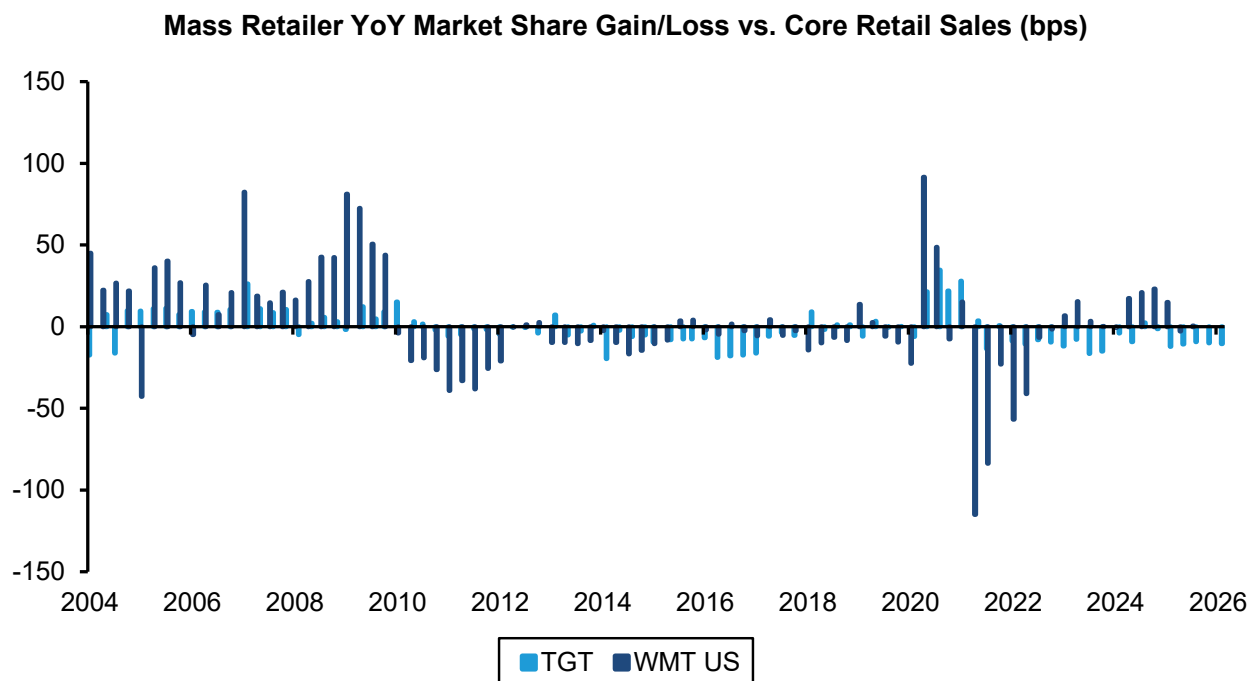
Source: Bureau of Labor Statistics, Bloomberg, Bernstein analysis

EXHIBIT 15: **Walmart gains share in inflationary periods, and hangs on through deflation, while the rest of the mass/club universe comp drops. Dollars, due to their low price points, tend to comp well across regimes.**



Only 12 deflationary periods in the 24 years, so the sample size is low.
Source: BLS, Bloomberg, Bernstein analysis

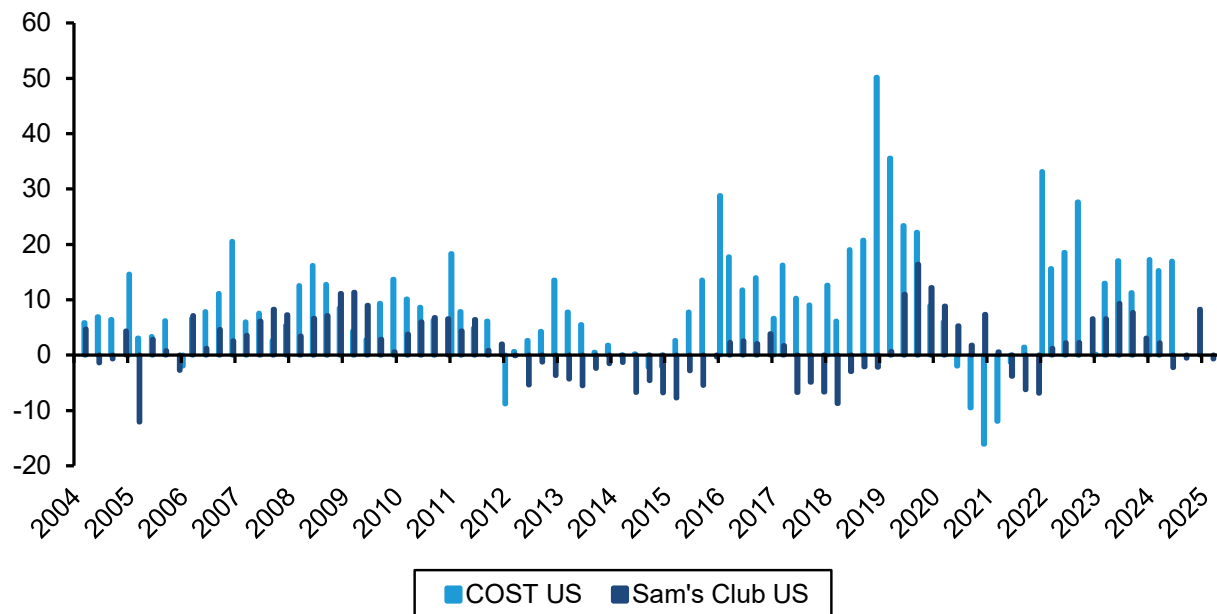
EXHIBIT 16: **WMT gave back its COVID-led market share gains (and a little more), but has been gaining share steadily since 2023, at the expense of less value-competitive retailers like Target.**



Source: FRED - St. Louis Fed, Company disclosures, Bernstein analysis

EXHIBIT 17: **Clubs as a whole lost share during COVID, but then proceeded to do very well in the ensuing inflationary period.**

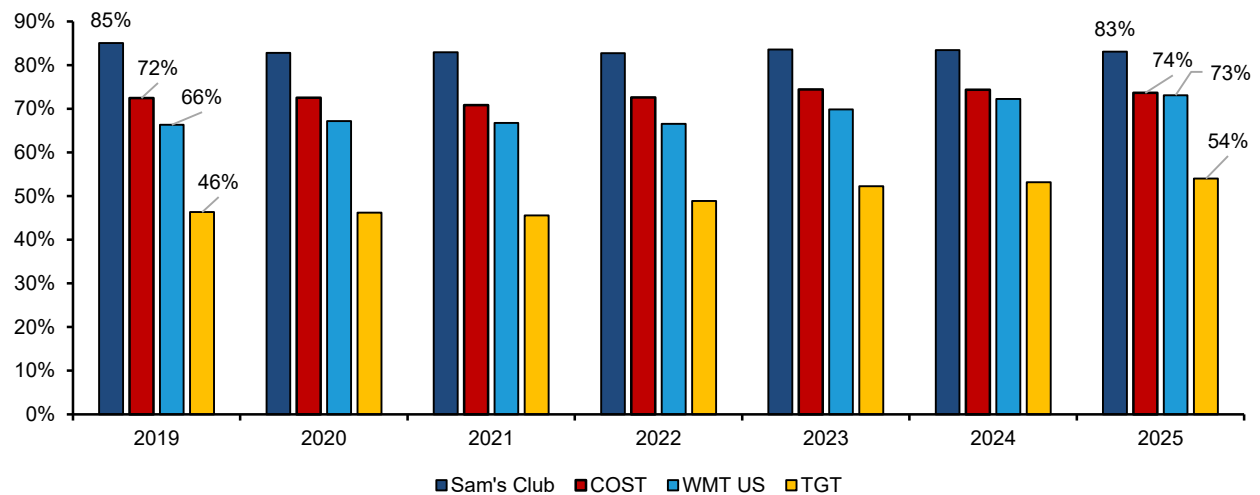
Club Store YoY Market Share Gain/Loss vs. Core Retail Sales (bps)



Source: FRED - St. Louis Fed, Company disclosures, Bernstein analysis

EXHIBIT 18: **Staples have grown as % of net sales since the pandemic for all mass/club retailers...**

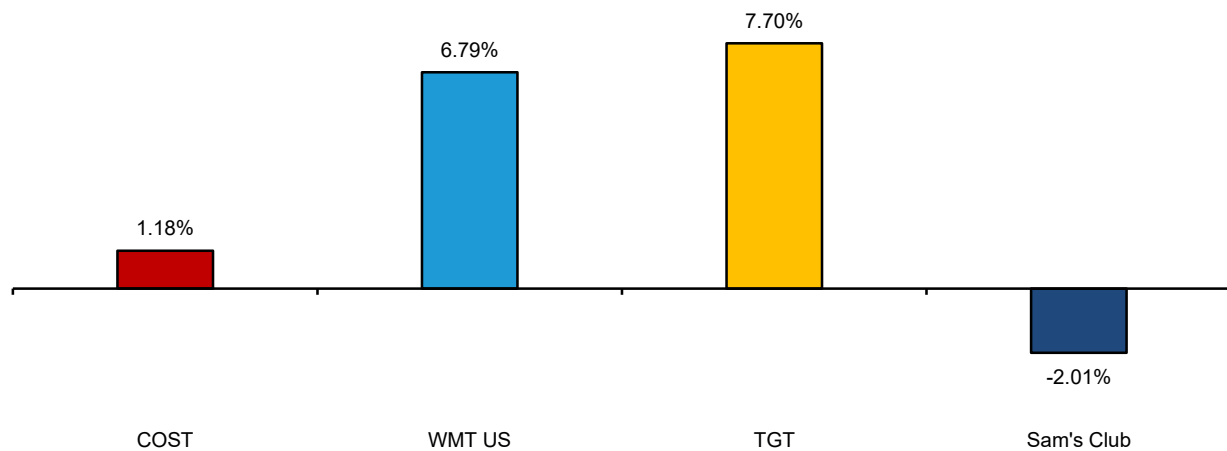
Staples, % Net Sales - 2019 to 2025



Source: Company disclosure, Bernstein analysis

EXHIBIT 19: ...except Sam's, which started from a high base.

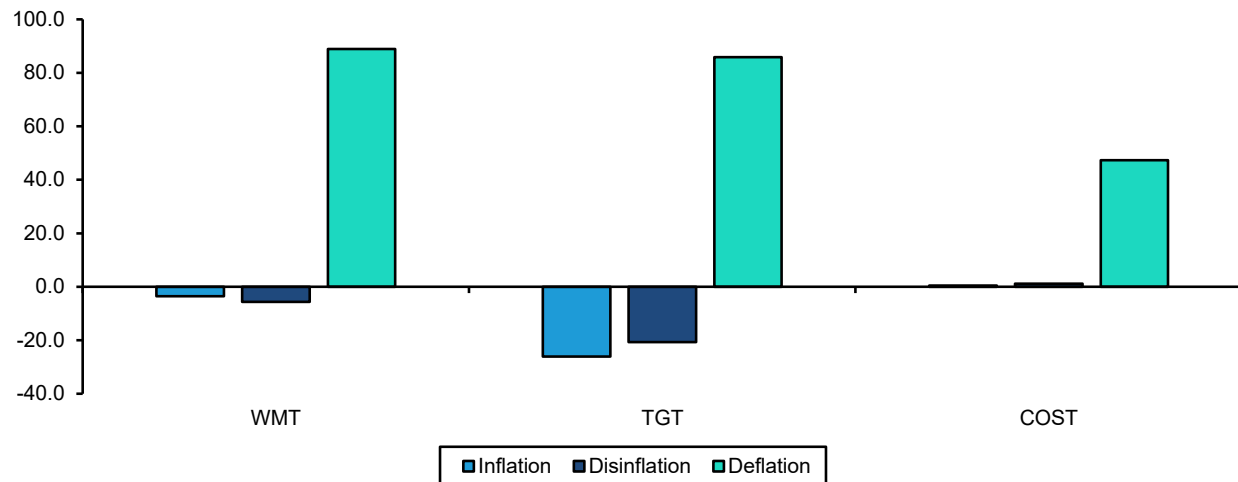
Staples, % Net Sales - Difference 2019 to 2025



Source: Company disclosure, Bernstein analysis

EXHIBIT 20: Inflation has a tendency to hurt gross margins across the board, while deflation provides relief.

Average YoY Change in Gross Margin (bps) in Periods of Inflation, Disinflation, and Deflation (2000-2024)



Only 12 deflationary periods in the 24 years, so the sample size is low.

Source: BLS, Bloomberg, Bernstein analysis

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